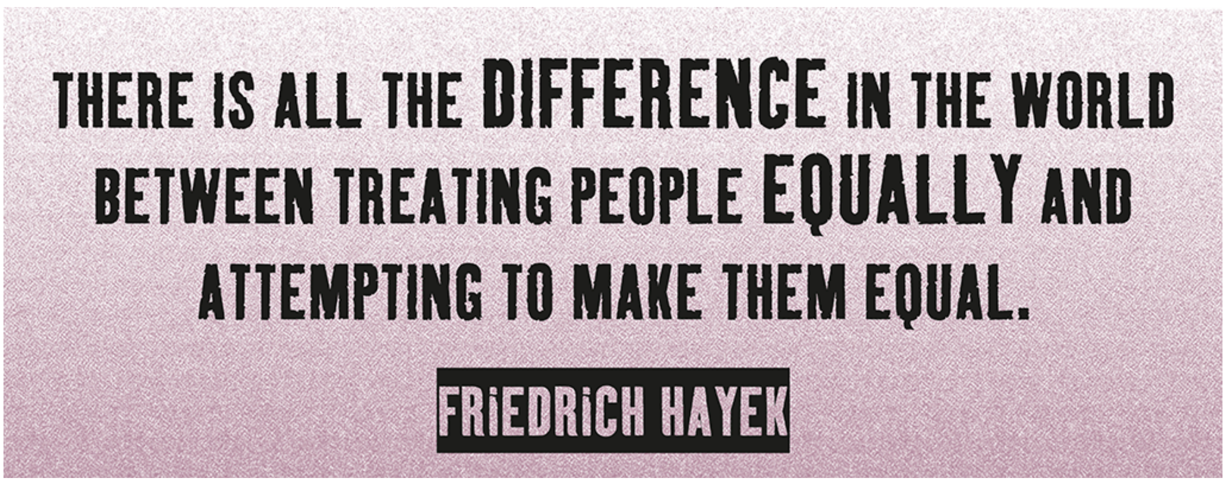
Free but not equal

With increasing globalization of trade and industry, we often compare the wealth of different countries, and their standard of living, using statistics such as GDP per capita . But what these figures don’t tell us, is how that wealth is distributed within a country. In many of the poorest countries, there is a huge gap between the richest and poorest members of society. Even in developed countries, there’s often a very uneven distribution of wealth. In a free market, inequality is almost inevitable. Some economists see that as a failing of the market system and argue that it results in an unfair society. Others argue that it’s not necessarily a bad thing, as it rewards people who work hard and encourages them to be more productive and come up with new ideas. As with many economic ideas, both sides of the argument have some truth in them, and the solution in practice is often a compromise between the opposing views.



A growing gap

Free markets not only create inequality, but can also increase it. Successful businesses use their profits to become even more productive, and so more competitive. Rich people can invest their money in businesses and get richer, but those without resources lag further and further behind. In many rich countries, this is seen as a social problem, and some governments have introduced progressive taxes, taking a bigger portion from higher incomes,